HOWDEN JOINERY PEOPLE SERVICES LIMITED

ANNUAL REPORT & FINANCIAL STATEMENTS

FOR THE 52 WEEKS ENDED 27 DECEMBER 2014

REGISTERED NUMBER: 05799085

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HOWDEN JOINERY PEOPLE SERVICES LIMITED
STRATEGIC REPORT AND DIRECTORS' REPORT

STRATEGIC REPORT

The Company is a wholly owned subsidiary of Howden Joinery Group Plc, and operates as part of the Howden Joinery Group Plc group (the "Group"). The Company's principal activities are providing and managing employees for other Group companies. There have not been any significant changes in the Company's principal activities in the period under review. The directors are not aware, at the date of this report, of any likely major changes in the Company's activities in the next financial period.

The Group manages its operations on a Group basis and therefore prepares a consolidated group report and accounts, including a consolidated strategic report. Pursuant to Section 414(A) (4) of the Companies Act 2006 (Strategic Report and Directors' Report) Regulations 2013, which provides that a group strategic report may give greater emphasis to the matters that are significant to the undertakings included in the consolidation when taken as a whole, the following information in relation to the Company can be found in the Group annual report on the pages listed:

• Fair review of the business	pages 14-19
• Description of the principal risks and uncertainties facing the Group and its subsidiary undertakings	pages 20-21
• Financial and non-financial KPIs	pages 17, 22-27
• Future developments	pages 13, 17
• Information about environmental matters, social, community and human rights issues	pages 22-27
• Description of business model and strategy	pages 2-7, 10-13
• Information in relation to Group employees, including gender statistics, employee involvement and Group policy on the employment of disabled persons	pages 49-54, 61-65

This report is available as part of the Group's Annual Report which is available at http://www.howdenjoinerygroupplc.com/ and which does not form part of this report.

By Order of the Board

Forbes McNaughton – Company Secretary
20 March 2015

DIRECTORS' REPORT

The directors have pleasure in submitting their report and the audited financial statements of the Company for the 52 weeks to 27 December 2014 *(2013: 52 weeks ended 28 December 2013)*.

DIRECTORS

The directors of the Company who served throughout the period were:

R Fenwick
J French
M Robson

No director held any beneficial interest in the shares of the Company at any time during the period.

REGISTERED OFFICE

The Company's registered office is 40 Portman Square, London W1H 6LT.

DIVIDEND

During the current period, a dividend of £2.7m was proposed and paid. During the prior period, a dividend of £8.8m was proposed and paid. Further details are given in note 9.

EMPLOYEES

The Company had 1,407 employees *(2013:1,341)* during the period and staff costs amounted to £76,311,000 *(2013:£73,416,000)*.

POLITICAL CONTRIBUTIONS

The Company did not make any political donations during the period *(2013: £nil)*.

AUDITOR

Each of the persons who is a director at the date of approval of this annual report confirms that:

- so far as the director is aware, there is no relevant audit information of which the Company's auditor is unaware; and
- the director has taken all the steps he/she ought to have taken as a director in order to make himself/herself aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

The confirmation is given and should be interpreted in accordance with the provisions of s418 of the Companies Act 2006.

Deloitte LLP have indicated their willingness to be reappointed for another term and will be deemed to be reappointed in accordance with s485 - 488 of the Companies Act 2006.

GOING CONCERN

After making enquiries and taking into consideration the profitability and financial position of the Company, the directors have formed a judgement, at the time of approving the financial statements, that there is a reasonable expectation that the Company has adequate resources to continue in operational existence for the foreseeable future. For this reason the directors continue to adopt the going concern basis in preparing the financial statements.

STATEMENT OF DIRECTORS' RESPONSIBILITIES

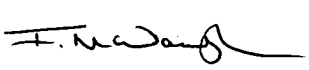
The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law, the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK accounting standards have been followed; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The directors are responsible for keeping adequate accounting records which are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

By Order of the Board



Forbes McNaughton – Company Secretary
20 March 2015

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF HOWDEN JOINERY PEOPLE SERVICES LIMITED

We have audited the financial statements of Howden Joinery People Services Limited for the 52 weeks ended 27 December 2014 which comprise the Profit and Loss Account, the Balance Sheet, and the related notes 1 to 13. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice).

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Respective responsibilities of directors and auditor

As explained more fully in the Statement of Directors' Responsibilities, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view. Our responsibility is to audit and express an opinion on the financial statements in accordance with applicable law and International Standards on Auditing (UK and Ireland). Those standards require us to comply with the Auditing Practices Board's Ethical Standards for Auditors.

Scope of the audit of the financial statements

An audit involves obtaining evidence about the amounts and disclosures in the financial statements sufficient to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or error. This includes an assessment of: whether the accounting policies are appropriate to the company's circumstances and have been consistently applied and adequately disclosed; the reasonableness of significant accounting estimates made by the directors; and the overall presentation of the financial statements. In addition, we read all the financial and non-financial information in the annual report to identify material inconsistencies with the audited financial statements and to identify any information that is apparently materially incorrect based on, or materially inconsistent with, the knowledge acquired by us in the course of performing the audit. If we become aware of any apparent material misstatements or inconsistencies we consider the implications for our report.

Opinion on financial statements

In our opinion the financial statements for 2014:

- give a true and fair view of the state of the company's affairs as at 27 December 2014 and of its profit for the 52 weeks then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Opinion on other matter prescribed by the Companies Act 2006

In our opinion the information given in the Strategic Report and the Directors' Report for the financial year for which the financial statements are prepared is consistent with the financial statements.

Matters on which we are required to report by exception

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Edward Hanson

Edward Hanson (Senior statutory auditor)
for and on behalf of Deloitte LLP
Chartered Accountants and Statutory Auditor
London, United Kingdom
20 March 2014

HOWDEN JOINERY PEOPLE SERVICES LIMITED
PROFIT & LOSS ACCOUNT
FOR THE 52 WEEKS ENDED 27 DECEMBER 2014

	Notes	52 Weeks to 27 December 2014	52 Weeks to 28 December 2013
		£000	£000
Turnover		**80,008**	76,595
Cost of sales		**(79,036)**	(75,503)
Profit on ordinary activities before taxation		**972**	1,092
Tax credit on profit on ordinary activities	5	**600**	974
Profit for the financial period		**1,572**	2,066

The results for the current and prior periods are derived from continuing operations.

There are no recognised gains or losses in the current or prior period, other than those included in the profit and loss account, and therefore no statement of total recognised gains and losses is presented.

HOWDEN JOINERY PEOPLE SERVICES LIMITED
BALANCE SHEET AT 27 DECEMBER 2014

	Notes	27 Dec 2014 £000	27 Dec 2014 £000	28 Dec 2013 £000	28 Dec 2013 £000
Non-current assets					
Deferred tax asset	6	**614**		555	
Current assets					
Debtors	7	**1,506**		2,224	
Total assets			**2,120**		2,779
Total liabilities			**-**		-
Net assets			**2,120**		2,779
Capital and reserves					
Called up share capital	8		-		-
Profit and loss account	10		**(902)**		305
Share-based payments reserve	10		**3,022**		2,474
Shareholders' funds	10		**2,120**		2,779

Approved and authorised for issue by the Board of Directors and signed on its behalf by

Mark Robson
Director
20 March 2015

1. ACCOUNTING POLICIES

The accounting policies summarised below have all been applied consistently throughout the current and prior period.

BASIS OF PREPARATION

The financial statements have been prepared under the historical cost convention and in accordance with applicable United Kingdom accounting standards. The financial statements have been prepared on a going concern basis as discussed in the Directors and Strategic Report.

Under Financial Reporting Standard 1, the Company is exempt from the requirement to prepare a cash flow statement on the grounds that it is a wholly owned subsidiary undertaking and a consolidated cash flow statement is given in the financial statements of Howden Joinery Group Plc.

The financial statements include the undertakings for the 52 week period ended 27 December 2014, being the Saturday nearest to the Company's accounting reference date of 31 December. The comparative period covers the 52 weeks ended 28 December 2013.

TURNOVER

Turnover represents the net value of services sold to customers excluding value added tax. All turnover arises in the United Kingdom. Turnover is recognised on the provision of qualifying services.

TAXATION

UK Corporation tax is provided at amounts expected to be paid (or recovered) using tax rules and laws that have been enacted or substantively enacted by the balance sheet date.

Deferred taxation is provided on a full provision basis, without discounting, on all timing differences which have arisen but not reversed at the balance sheet date.

PENSIONS

i) Defined benefit pension scheme:

The Company participates in its parent company's (Howden Joinery Group Plc) group retirement benefit scheme. This is a defined benefit arrangement, operating through a multi-employer defined benefit scheme. The assets and liabilities of the scheme are held separately from those of the Howden Joinery Group Plc group ("the Group"). The Company is unable to identify its share of the underlying assets and liabilities of the scheme and accordingly accounts for the scheme as if it was a defined contribution scheme. This is in line with the guidance in FRS 17 relating to group defined benefit pension schemes.

ii) Defined contribution pension scheme:

The Group operates two defined contribution schemes for its employees. For these schemes, the amount charged to the profit and loss account in respect of pension costs and other post-retirement benefits is the contributions payable in the year. Differences between contributions payable in the year and contributions actually paid are shown as either accruals or prepayments in the balance sheet.

SHARE-BASED PAYMENTS

FRS 20 has been applied to all grants of equity instruments after 7 November 2002 that were unvested as of 25 December 2005.

The Company issues equity-settled share-based payments to certain employees, based on the shares of its ultimate parent company Howden Joinery Group Plc. Equity-settled share-based payments are measured at fair value at the date of grant. The fair value determined at the grant date of the equity-settled share based payments is expensed on a straight-line basis over the vesting period, based on the Group's estimate of shares that will eventually vest.

Fair value is measured by use of either a binomial model or a Black-Scholes-based model, depending on which model most closely reflects the terms of each individual share-based payment arrangement. The expected life used in the model has been adjusted, based on management's best estimate, for the effects of non-transferability, exercise restrictions, and behavioural considerations.

2. PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION

The auditors remuneration of £6,000 *(2013: £5,000)* for audit services was borne by the fellow group subsidiary company Howden Joinery Corporate Services Ltd in the current and prior periods with no right to reimbursement.

3. STAFF NUMBERS AND COSTS (INCLUDING DIRECTORS)

The average number of persons (full-time equivalent) employed by the Company during the period was as follows:

	52 weeks to 27 Dec 2014 No.	52 weeks to 28 Dec 2013 No.
Information Systems Services	**219**	204
Manufacturing	**1,188**	1,137
	1,407	1,341

The aggregate payroll costs of these persons were as follows:

	52 weeks to 27 Dec 2014 £000	52 weeks to 28 Dec 2013 £000
Wages and salaries	**53,947**	51,434
Social security costs	**4,164**	3,708
Other pension costs	**17,652**	17,561
Share-based payment charge (note 12)	**548**	713
	76,311	73,416

4. REMUNERATION OF DIRECTORS

Directors' remuneration	52 weeks to 27 Dec 2014 £000	52 weeks to 28 Dec 2013 £000
Directors' emoluments	**985**	871
Pension costs	**26**	28
	1,011	899

The number of directors who:	No.	No.
Are members of a defined benefit pension scheme	**2**	2
Are members of a money purchase pension scheme	**-**	-
Exercised options over shares	**2**	2

Remuneration of the highest paid director	£000	£000
Directors' emoluments	**593**	527
Pension costs	**13**	14
	606	541

The highest paid director exercised share options during the year.

Based on normal retirement age the accrued pension of the highest paid director under the Company's defined benefit scheme, should he leave employment at the end of the financial year, is £41,600 *(2013: £38,200)*.

5. TAX ON PROFIT ON ORDINARY ACTIVITIES

	52 weeks to 27 Dec 2014 £000	52 weeks to 28 Dec 2013 £000
UK corporation tax – current tax	(704)	(541)
Adjustments relating to prior years	163	(3)
	(541)	(544)
Deferred tax – current year	(59)	(430)
Tax credit on profit on ordinary activities	(600)	(974)

There is no unprovided deferred tax at the period end.

Factors affecting current period corporation tax

The current corporation tax charge for the period is different from the standard rate of corporation tax of 21.50% (2013: 23.25%) for the following reasons:

	52 weeks to 27 Dec 2014 £000	52 weeks to 28 Dec 2013 £000
Profit on ordinary activities before taxation for the period	972	1,092
Profit on ordinary activities before taxation for the period, multiplied by the standard rate of corporation tax in the UK of 21.50% *(2013: 23.25%)*.	209	254
Effects of:		
Expenditure not deductible for tax purposes	1	12
Transfer pricing adjustments on non-trading loans	10	4
Movement in share scheme	(925)	(816)
Car leasing disallowance	1	5
Prior year adjustment	163	(3)
Current period corporation tax credit	(541)	(544)

6. DEFERRED TAXATION

Analysis of deferred tax balance:	52 weeks to 27 Dec 2014 £000	52 weeks to 28 Dec 2013 £000
Share schemes	614	555
Total deferred tax	614	555
Asset at the start of the period	555	125
Deferred tax credit in the profit and loss account for the year	59	513
Change of rate*	-	(83)
Asset at the end of the period	614	555

* In July 2013 Parliament approved the Finance Bill which reduces the UK standard rate of corporation tax from 23% to 21% with effect from 1 April 2014 and 21% to 20% from 1 April 2015. All deferred tax assets and liabilities have been recognised at 20% (2013: 20%).

7. DEBTORS

	27 Dec 2014	28 Dec 2013
Amounts falling due within one year:	£000	£000
Amounts owed by parent and fellow subsidiary undertakings	**802**	1,683
Corporation tax	**704**	541
	1,506	2,224

8. AUTHORISED & ISSUED SHARE CAPITAL

	27 Dec 2014	28 Dec 2013
	£000	£000
100,000,000 authorised ordinary shares of £1.00 each	**100,000**	100,000
1 allotted, called up, issued, fully paid ordinary share of £1.00	**-**	-

9. DIVIDENDS

Amounts recognised as distributions in the current period:

	27 Dec 2014	28 Dec 2013
	£000	£000
Final dividend for the 52 weeks ended 28 December 2013	**2,779**	
Final dividend for the 53 weeks ended 29 December 2012		8,754

Dividends proposed at the end of the period (but not recognised in the period):

	27 Dec 2014	28 Dec 2013
	£000	£000
Proposed final dividend for the 52 weeks ended 28 December 2013	-	2,779

The final dividend for the 52 weeks ended 28 December 2013 was declared and paid on 12 June 2014.

10. RECONCILIATION OF MOVEMENT IN SHAREHOLDERS' FUNDS

	Share Capital	Profit and Loss Reserve	Share-based payments reserve	Shareholders' Funds
	£000	£000	£000	£000
At 28 December 2013	-	305	2,474	2,779
Dividend declared and paid	-	(2,779)	-	(2,779)
Profit for the period	-	1,572	-	1,572
Share-based payments	-	-	548	548
At 27 December 2014	**-**	**(902)**	**3,022**	**2,120**

The share-based payment reserve is distributable.

11. PENSIONS

i) Defined contribution: auto-enrolment plan

The Howden Joinery Group Plc group ("the Group") operates an auto-enrolment defined contribution scheme for employees, in line with recent UK Government legislation. Under the terms of this scheme, employees make pension contributions out of their salaries, and the Group also makes additional contributions. The Group decided to give employees the option to enter this scheme earlier than the mandatory start date, and so the auto-enrolment scheme was open to employees from November 2012 on a voluntary, opt-in, basis, although it was not mandatory to enrol employees into this scheme until July 2013.

The total cost charged to income in respect of this scheme in the current period of £0.5m (2013: £0.3m) represents the Company's contributions due and payable in respect of the period.

ii) Defined contribution: other plan

The Group operates a defined contribution scheme for its employees. The assets of this scheme are held separately from those of the Group, and are under the control of the scheme trustees. This scheme began operation during 2006.

The total cost charged to income in respect of this scheme in the current period of £0.4m (2013: £0.4m) represents the Company's contributions due and paid in respect of the period.

iii) Defined benefit plan

The Group operates a funded pension scheme which provides benefits based on the pensionable pay of participating employees. This scheme was closed to new entrants from April 2013. The assets of the scheme are held separately from those of the Group, being invested with independent fund managers.

Contributions are charged to the consolidated income statement so as to spread the cost of pensions over the employees' working lives with the Group. The present value of the defined benefit obligation, the related current service cost, and past service cost are determined by a qualified actuary using the projected unit method.

The most recent completed actuarial valuation was carried out at 5 April 2011 by the scheme actuary. The actuary advising the Group has subsequently rolled forward the results of the 5 April 2011 valuation to 27 December 2014, and has restated the results onto a basis consistent with market conditions at that date. This exercise showed a scheme deficit at 27 December 2014 of £142.6m (2013: £54.3m), before netting off the associated deferred tax asset.

The roll-forward was done according to the requirements of International Accounting Standard 19: "Employee Benefits" ("IAS 19", under which the Howden Joinery Group reports its results), rather than FRS 17 (under which this Company reports its results). However, management have no reason to believe that there would be any significant difference between a valuation under FRS17 and one under IAS 19.

The Group adopted IFRS with effect from 26 December 2004, and therefore the Group consolidated financial statements disclose pension charges, assets, and liabilities in line with IAS 19 *"Employee Benefits"*. The Group does not believe that there are any material differences between the net pension deficit and the pension charge under IAS 19, compared to under FRS17. It may therefore be useful to users of these accounts to consult the full IAS 19 disclosures given in the consolidated financial statements of Howden Joinery Group Plc.

The Company's defined benefit pension charge for the year was £16.7m *(2013: £16.8m)*. There were no outstanding contributions at the period end.

12. SHARE-BASED PAYMENTS

1) Details of each scheme
There was a charge of £548,142 *(2013: charge of £712,675)* to be recognised by the Company in respect of share-based payments during the period. The Group has various share-based payment schemes, which are all equity-settled. The main details of all schemes which existed during the period are given below.

a) Co-Investment Plan
This is a co-investment plan where each participant is permitted to invest a limited amount of shares on an annual basis for the purposes of the Plan. **2011 grant:** 25% of the award will vest if PBT growth at the end of the 2013 financial year is at a rate of 6% p.a., based on the December 2010 accounts. 100% of the award will vest if PBT growth on the same basis is 12% p.a. or above. **2012 grant:** 25% of the award will vest if PBT growth at the end of the 2014 financial year is at a rate of 6% p.a., based on the December 2011 accounts. 100% of the award will vest if PBT growth on the same basis is 12% p.a. or above. **2013 grant:** 25% of the award will vest if PBT growth at the end of the 2015 financial year is at a rate of 6% p.a., based on the December 2012 accounts. 100% of the award will vest if PBT growth on the same basis is 12% or above. **2014 grant:** 15% of the award will vest if PBT growth at the end of the 2016 financial year is at a rate of 8% p.a., based on the December 2013 accounts. 100% of the award will vest if PBT growth on the same basis is 20% or above

b) Executive Share Options
This is a discretionary share option plan. These options are granted with an exercise price equal to market value. The vesting period is three years from the date of grant with an exercise period of seven years (i.e. a total life of ten years). In the information below, these options have been further subdivided according to their different performance conditions, in order to give more meaningful information. The different subdivisions and performance conditions are as follows:

i) EPS growth must equal RPI + 9%. If this is achieved there will be full vesting. If this is not achieved there will be no vesting.

c) ***Long Term Incentive Plan***
This is a discretionary plan under which the Company may grant different types of share award including market value and nil cost options, conditional awards of shares and restricted shares (where the employee is the owner of the shares from the date of award but subject to forfeiture). Unless otherwise specified all awards have substantially the same terms.

i) Market value options, the vesting period for which is three years from the date of grant with an exercise period of seven years (i.e. a total life of ten years). Options will vest if cumulative PBT of £90m is achieved over the three financial years ending 2009, 2010 and 2011.

ii) Market value which vest after a three year period from the date of grant. 15% of the options will vest if the group achieves growth in pre-exceptional PBT equivalent to RPI over the performance period; 100% will vest if pre-exceptional PBT growth is equivalent to RPI + 8% is achieved.

iii) Conditional Share Award - shares will vest at the end of a three year period commencing on the date of grant subject to continuing employment

iv) **2011 grant** - 25% of the award will vest if PBT growth at the end of the 2013 financial year is at a rate of 6% p.a., based on the December 2010 accounts. 100% of the award will vest if PBT growth on the same basis is 12% p.a. or above. **2012 grant:** 25% of the award will vest if PBT growth at the end of the 2014 financial year is at a rate of 6% p.a., based on the December 2011 accounts. 100% of the award will vest if PBT growth on the same basis is 12% p.a. or above. **2013 grant:** 25% of the award will vest if PBT growth at the end of the 2015 financial year is at a rate of 6% p.a., based on the December 2012 accounts. 100% of the award will vest if PBT growth on the same basis is 12% or above. **2014 grant:** 15% of the award will vest if PBT growth at the end of the 2016 financial year is at a rate of 8% p.a., based on the December 2013 accounts. 100% of the award will vest if PBT growth on the same basis is 20% or above

d) ***Share Incentive Scheme (Freeshares)***
This is an 'all-employee' share incentive plan whereby participants receive a grant of free shares in the Company. If the employees are still employed by the Group three years after the grant, then the shares vest. Dividends are paid out on the shares between award date and vesting date. There are no other performance conditions attached to these awards.

2) Movements in the period
The following tables the number of weighted average exercise price ("WAEP") of each category of share options during the period, and the movements in each category. The significance of options granted before 7 November 2002 is that they have been excluded from the FRS 20 share-bases payment charge on the basis of their grant, as allowed on adoption of FRS 20.

a) Co-investment Plan

i) Co-investment Plan: 2011, 2012, 2013 and 2014 awards. 25% of the award will vest if 6% growth in PBT is achieved; 100% will vest if 12% PBT growth is achieved.	**52 weeks to 27 December 2014**	**52 weeks to 27 December 2014**	52 weeks to 28 December 2013	52 weeks to 28 December 2013
	Number	**WAEP (£)**	Number	WAEP (£)
In issue at beginning of period	**904,607**	**0.00**	712,926	0.00
Granted in period	**108,221**	**0.00**	191,681	0.00
Lapsed in period	**(39,742)**	**0.00**		N/A
Exercised in period	**(316,992)**	**0.00**		N/A
In issue at end of period	**656,094**	**0.00**	904,607	
Exercisable at end of period	**0**	**N/A**	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	**0**		0	
Weighted average share price for options exercised during the period		**3.46**		0.00
Weighted average contractual life remaining for share options outstanding at the period end (years)	**0.87**		1.07	
Weighted average fair value of options granted during the period (£)	**3.62**		2.24	
Range of exercise prices for options outstanding at the period end (£):				
- from	**0.00**		0.00	
- to	**0.00**		0.00	

12. SHARE-BASED PAYMENTS (continued)

b) Executive Share Options

i) Full vesting if EPS increases by RPI + 9%	**52 weeks to 27 December 2014**	**52 weeks to 27 December 2014**	52 weeks to 28 December 2013	52 weeks to 28 December 2013
	Number	**WAEP (£)**	Number	WAEP (£)
In issue at beginning of period	**53,000**	**1.00**	171,615	1.00
Granted in period	**0**	**N/A**	0	N/A
Lapsed in period	**(5,000)**	**1.00**	0	N/A
Exercised in period	**(8,000)**	**1.00**	(118,615)	1.00
In issue at end of period	**40,000**	**1.00**	53,000	1.00
Exercisable at end of period	**40,000**	**1.00**	53,000	1.00
Number of options in the closing balance that were granted before 7 November 2002	**40,000**		53,000	
Weighted average share price for options exercised during the period		**3.75**		2.35
Weighted average contractual life remaining for share options outstanding at the period end (years)	**0.00**		0.00	
Weighted average fair value of options granted during the period (£)	**N/A**		N/A	
Range of exercise prices for options outstanding at the period end (£):				
- from	**1.00**		1.00	
- to	**1.00**		1.00	

c) Long Term Incentive Plan – Options

i) cumulative PBT of £90m over three financial years ending 2009, 2010 and 2011	**52 weeks to 27 December 2014**	**52 weeks to 27 December 2014**	52 weeks to 28 December 2013	52 weeks to 28 December 2013
	Number	**WAEP (£)**	Number	WAEP (£)
In issue at beginning of period	**196,500**	**0.36**	243,000	0.36
Granted in period	**0**	**N/A**	0	N/A
Lapsed in period	**0**	**N/A**	0	N/A
Exercised in period	**(125,000)**	**0.00**	(46,500)	0.36
In issue at end of period	**71,500**	**0.36**	196,500	0.36
Exercisable at end of period	**71,500**	**0.36**	196,500	0.36
Number of options in the closing balance that were granted before 7 November 2002	**0**		0	
Weighted average share price for options exercised during the period		**3.67**		2.18
Weighted average contractual life remaining for share options outstanding at the period end (years)	**0.00**		0.00	
Weighted average fair value of options granted during the period (£)	**N/A**		N/A	
Range of exercise prices for options outstanding at the period end (£):				
- from	**0.36**		0.36	
- to	**0.36**		0.36	

12. SHARE-BASED PAYMENTS (continued)

c) Long Term Incentive Plan – Options

ii) 2012 PBT increase by between RPI and RPI + 8%	**52 weeks to 27 December 2014**	**52 weeks to 27 December 2014**	52 weeks to 28 December 2013	52 weeks to 28 December 2013
	Number	**WAEP (£)**	Number	WAEP (£)
In issue at beginning of period	**118,286**	**0.81**	664,927	0.81
Granted in period	**0**	**N/A**	0	N/A
Lapsed in period	**0**	**N/A**	(11,152)	0.00
Exercised in period	**(49,271)**	**0.00**	(535,489)	0.81
In issue at end of period	**69,015**	**0.81**	118,286	0.81
Exercisable at end of period	**69,015**	**0.00**	118,286	0.81
Number of options in the closing balance that were granted before 7 November 2002	**0**		0	
Weighted average share price for options exercised during the period		**3.77**		2.32
Weighted average contractual life remaining for share options outstanding at the period end (years)	**0.00**		0.00	
Weighted average fair value of options granted during the period (£)	**N/A**		N/A	
Range of exercise prices for options outstanding at the period end (£):				
- from	**0.81**		0.81	
- to	**0.81**		0.81	

iii) Conditional Share Award - subject to continuing employment	**52 weeks to 27 December 2014**	**52 weeks to 27 December 2014**	52 weeks to 28 December 2013	52 weeks to 28 December 2013
	Number	**WAEP (£)**	Number	WAEP (£)
In issue at beginning of period	**38,300**	**0.00**	37,900	0.00
Granted in period	**11,800**	**0.00**	11,800	0.00
Lapsed in period	**(1,400)**	**0.00**	(100)	0.00
Exercised in period	**(14,100)**	**0.00**	(11,300)	0.00
In issue at end of period	**34,600**	**0.00**	38,300	0.00
Exercisable at end of period	**0**	**0.00**	0	0.00
Number of options in the closing balance that were granted before 7 November 2002	**0**		0	
Weighted average share price for options exercised during the period		**3.73**		2.38
Weighted average contractual life remaining for share options outstanding at the period end (years)	**1.20**		1.32	
Weighted average fair value of options granted during the period (£)	**347.60**		2.14	
Range of exercise prices for options outstanding at the period end (£):				
- from	**0.00**		0.00	
- to	**0.00**		0.00	

12. SHARE-BASED PAYMENTS (continued)

c) Long Term Incentive Plan – Options

(iv) 2011 grant - 2013 PBT to increase by between 6% - 12%pa, based on Dec 2010 PBT / 2012 grant - same target but for 2014, PBT based on 2011 PBT	**52 weeks to 27 December 2014**	**52 weeks to 27 December 2014**	52 weeks to 28 December 2013	52 weeks to 28 December 2013
	Number	**WAEP (£)**	Number	WAEP (£)
In issue at beginning of period	**440,025**	**1.62**	328,543	1.55
Granted in period	**218,748**	**3.79**	170,161	2.38
Lapsed in period	**(31,977)**	**1.66**	(49,414)	1.32
Exercised in period	**(26,749)**	**1.25**	(9,265)	1.13
In issue at end of period	**600,047**	**2.43**	440,025	162.39
Exercisable at end of period	**113,677**	**108.50**	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	**0**		0	
Weighted average share price for options exercised during the period		**3.49**		3.00
Weighted average contractual life remaining for share options outstanding at the period end (years)	**1.46**		1.28	
Weighted average fair value of options granted during the period (£)	**170.40**		1.00	
Range of exercise prices for options outstanding at the period end (£):				
- from	**108.50**		1.09	
- to	**378.50**		2.38	

d) Share inventive scheme (Freeshares)

	52 weeks to 27 December 2014	**52 weeks to 27 December 2014**	52 weeks to 28 December 2013	52 weeks to 28 December 2013
	Number	**WAEP (£)**	Number	WAEP (£)
In issue at beginning of period	**10,203**	**0.00**	12,805	0.00
Granted in period	**0**	**N/A**	0	N/A
Lapsed in period	**0**	**N/A**	0	N/A
Exercised in period	**(1,254)**	**0.00**	(2,602)	0.00
In issue at end of period	**8,949**	**0.00**	10,203	0.00
Exercisable at end of period	**8,949**	**0.00**	10,203	0.00
Number of options in the closing balance that were granted before 7 November 2002	**8,949**		10,203	
Weighted average share price for options exercised during the period		**3.45**		2.61
Weighted average contractual life remaining for share options outstanding at the period end (years)	**0.00**		0.00	
Weighted average fair value of options granted during the period (£)	**N/A**		N/A	
Range of exercise prices for options outstanding at the period end (£):				
- from	**0.00**		0.00	
- to	**0.00**		0.00	

12. SHARE-BASED PAYMENTS (continued)

3) Fair value of options granted

The fair value of all options granted except Sharesave is estimated on the date of grant using binomial option valuation model. Sharesave schemes are valued using Black Scholes model as they are not considered to be of such complexity that they require a binomial model. The key assumptions used in the models were:

	52 weeks to 27 December 2014	52 weeks to 28 December 2013
Dividend yield (%)	**1.5**	2.5
Expected share price volatility (%)	**51**	52
Historical volatility (%)	**51**	52
Risk-free interest rate (%)	**2.2**	1.1
Expected life of options (years)	**3.0 to 6.5**	3.0 to 6.5

Historical volatility is measured for each scheme over the period equal to the vesting period of the scheme. The figure arrived at is then used as the best estimate of expected future volatility.

13. ULTIMATE PARENT COMPANY AND RELATED PARTY TRANSACTIONS

The Company's parent Company is Howden Joinery Holdings Ltd and the ultimate parent Company and controlling entity is Howden Joinery Group Plc incorporated in Great Britain and registered in England and Wales.

The largest and smallest group in which the results of the Company are consolidated is that headed by Howden Joinery Group Plc. The consolidated accounts of this group are available to the public and can be obtained from the Registrar of Companies, Companies Registration Office, Crown Way, Maindy, Cardiff CF14 3UZ.

The Company is exempt under FRS 8 from the requirement to disclose transactions within the group headed by Howden Joinery Group Plc, on the grounds that it is a wholly owned subsidiary.